



File No.: EXP202303754

RESOLUTION FOR TERMINATION OF THE PROCEDURE DUE TO VOLUNTARY PAYMENT

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On May 31, 2024, the Director of the Spanish Agency for Data Protection decided to initiate sanctioning proceedings against MAPFRE INVERSION SOCIEDAD DE VALORES, S.A (hereinafter, the respondent), through the Agreement transcribed below:

<<

File No.: EXP202303754

Sanctioning Procedure No.: PS/00236/2024

AGREEMENT TO INITIATE SANCTIONING PROCEDURE

From the actions taken by the Spanish Agency for Data Protection and based on the following

FACTS

FIRST: A.A.A. (hereinafter, the complainant) filed a complaint with the Spanish Agency for Data Protection on July 4, 2023. The complaint is directed against MAPFRE INVERSION SOCIEDAD DE VALORES, S.A with NIF A79227021 (hereinafter, the respondent/MAPRE INVERSIONES). The reasons for the complaint are as follows:

- That he is a client, along with his wife (B.B.B.), of the entity MAPFRE INVERSIONES, with which a wealth management contract was signed that enabled the respondent to manage the funds that had been deposited and to carry out investment operations with them, always with the prior express authorization of both, through handwritten or electronic signature.
- He states that, however, on June 2, 2021, the respondent executed several transfer orders of the deposited capital acquiring six investment funds, without his authorization, being unaware of the method used to forge his signature and consent.
- That it was the complainant who noticed the 6 investment operations when he casually checked the MAPFRE INVERSIONES APP used for managing the contracted investments.
- In light of what happened, the complainant contacted the respondent and states that they acknowledged their irregular action, sending the complainant receipts for the disputed transfers, and stating in an email dated November 26, 2021, that there had been "malpractice on the part of the representative of the respondent," offering to "restore the original situation before executing the disputed operations, compensating for any possible economic harm."
- That the respondent continues to not respond to the questions posed by the complainant regarding the means by which those instructions were executed, being unaware if his signatures were forged, or if there was fraudulent use of the Logalty certificate (mechanism used for the electronic signature of said operations), since to date they have not provided him with the signature and consent documents for those operations.

Along with the complaint, he submits:

- Document 1. Screenshots of 12 transfer orders including the 6 disputed investment orders.
- Document 2. The receipts for said transfers provided by the respondent.
- Document 3. List of movements of the account portfolio obtained as of June 15, 2021.
- Document 4. Tax information corresponding to the 2021 fiscal year of the portfolio available in the MAPFRE APP.
- Document 5. Copy of the email messages exchanged between the complainant and the respondent, in which the former requests explanations and the latter responds that they have referred the matter to the corresponding department and are pending resolution. Specifically, emails from June 17, June 18, June 23, June 25, September 3, and September 6, 2021, exchanged between the complainant and the director of Mapfre Wealth Management are provided.
- Document 6. Written submission by the complainant's lawyer to MAPFRE on November 15, 2021.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), this complaint was forwarded to

the respondent for analysis and to inform this Agency within one month of the actions taken to comply with the requirements set forth in data protection regulations.

The transfer, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was received on April 4, 2023, as evidenced by the acknowledgment of receipt in the file.

FOURTH: On May 4, 2023, a response letter from the respondent was received by this Agency indicating that:

- The respondent signed a Framework Contract for financial products and services with the complainant and Mrs. B.B.B. on January 28, 2018.
- On June 2, 2021, the agent acting as the representative of MAPFRE INVERSIONES (C.C.C., hereinafter, the representative of Mapfre) received several orders of
3/23

Investment operations formulated by the claimant, and “following the order execution procedure that was implemented in the entity as of 2-6-21, the representative of MAPFRE INVERSIÓN opted to use the paper signature system. In this context, the representative entered his professional mobile phone into the Mapfre Inversión application, where he received the PIN code, which allowed him to sign through LOGALTY the orders given by Mr. A.A.A., so that they could be ratified by the client through his handwritten signature on paper.”

- The respondent states that, for reasons unknown, despite having ordered said operations, the claimant later refused to ratify the operations he had ordered with his handwritten signature.
- After several attempts at resolution, the respondent sent a communication to the claimant on 26-11-21 in which he was offered the possibility of revoking the orders and compensating him for the damages, without the claimant responding in this regard.
- It has come to the respondent's attention that the claimant has proceeded to reimburse the funds acquired between June 11 and 15, 2021, “so that the result of the operations was assumed by the claimant, depriving Mapfre of the possibility of acting in any way regarding them.”
- In order to mitigate discrepancies that arise in paper signature procedures, the respondent has adopted the corrective measures recommended by its Data Protection Officer, dated July 15, 2021.
- The controversy revolves around the existing discrepancies regarding the form and compliance with the framework contract signed with the appellants, for the resolution of which there are other avenues, with no breach occurring in the treatment of the personal data protection of the appellants that falls under the jurisdiction of this Agency.

The following documentation is attached:

- Document 1. Framework contract for financial products and services signed between the claimant and the respondent entity and document of acceptance and signatures dated January 28, 2018.
- Document 2. Email sent by the respondent to the claimant on November 26, 2021, referring to the “malpractice” of the representative who executed the 6 investment orders.
- Document 3. Report on corrective measures implemented by the respondent.

THIRD: On May 31, 2023, after analyzing the documentation in the file, a resolution was issued by the Director of the Spanish Agency for Data Protection, agreeing to archive the complaint for lack of sufficient evidentiary elements at that time to undermine the principle of presumption of innocence.

The resolution was notified to the appellant on June 9, 2023, as evidenced in the file.

FIFTH: On July 4, 2023, the claimant and the co-holder of the aforementioned contract, which is the basis of the relationship between the respondent and the claimant, filed a voluntary appeal for reconsideration through the Electronic Registry of the AEPD, against the resolution issued in file EXP202303754, in which they express their disagreement with the contested resolution and request that the processing of the initial complaint presented continue.

On February 16, 2024, the appeal filed was sent to the respondent party within the framework established in Article 118.1 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP) for the purpose of formulating allegations and presenting the documents and justifications deemed appropriate.

Following the request and granting of an extension to submit allegations against the filed appeal, the respondent submitted a written response dated March 1, 2024, in which:

- It reproduces the allegations contained in its previous writing, insisting that the controversy raised should be resolved by other instances or means, as it is not within the material competence of this Agency.
- It clarifies that in ordering the investments, the keys and PIN of the appellants or the signature that appears for them in the Logalty certificate were not used in any case, but rather the agent who executed them used his own account and user keys.
- It adds that a meeting was held with the appellant on 21-6-21 in which he refused to sign the ratification or revocation of the investment orders, despite being offered this alternative, so there is no document of signature ratification of these operations by the appellants.
- A representation contract signed by Mapfre Inversiones with the agent responsible for executing these investment operations is attached as Document 1.

In view of the allegations and documentation provided by the appellant and the respondent, on May 10, 2024, a Resolution was issued by the Director of the Spanish Agency for Data Protection, in which the appeal is upheld and the admission of the complaint for processing is agreed, since the ratification of the investment operations by the appellants has not been evidenced, indicating signs of a possible lack of legitimacy of the respondent entity to process the personal data of the claimants when carrying out the 6 disputed investment operations.

FOURTH: According to the report collected from the AXESOR tool, the entity MAPFRE INVERSIÓN SOCIEDAD DE VALORES, S.A. as of May 27, 2024, is a large company established in 1989, with a business volume of €52,959,024 in 2022.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

5/23

LEGAL GROUNDS

I

Competence and Procedure

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter, LOPDGDD), the Director of the Spanish Data Protection Agency is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Data Protection Agency shall be governed by the provisions of Regulation (EU) 2016/679, this organic law, the regulatory provisions issued for its development, and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Preliminary Issues

The name, surname, NIF (Tax Identification Number), and account numbers of the complainant and his wife, which appear in the 6 capital transfer orders and investment fund acquisitions made by the respondent charged to the account contracted by both, are considered personal data, the processing of which is subject to the regime provided for in the GDPR, as well as its implementing provisions, in accordance with the provisions of Articles 4.1 and 4.2 of the GDPR, which states the following:

"Article 4 Definitions

For the purposes of this Regulation, the following definitions shall apply:

- 1) 'personal data': any information relating to an identified or identifiable natural person ('data subject'); an identifiable natural person is one who can be identified, directly or indirectly, in particular by reference to an identifier, such as a name, an identification number, location data, an online identifier, or one or more specific elements of the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person;
- 2) 'processing': any operation or set of operations performed on personal data or sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage,

adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination, or otherwise making available, alignment, combination, restriction, erasure, or destruction; (...)

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es

6/23

In the present case, according to the provisions of Article 4.1 of the GDPR, it is established that the respondent entity has processed personal data by executing, on behalf of the complainant and his wife, 6 fund transfer operations for the acquisition of capital obtained from the investment fund “LOW DURAT EURO COVER BC AC EUR” (hereinafter, investment funds) dated June 2, 2021, charged to the cash account that they contracted with MAPFRE INVERSIONES in 2018.

The fund transfer orders have been submitted as Document 2 of the complaint and were executed by the agent/representative (C.C.C.) of the respondent entity.

The respondent party provides two contracts:

- Framework Contract for financial services and products dated January 28, 2018, signed between MAPFRE INVERSIONES (the entity) and the complainant and his wife (CLIENTS), which was submitted as Document 1 of the response to the transfer (hereinafter, Framework Contract).
- Representation Contract signed between MAPFRE INVERSIONES and the representative C.C.C. (referred to as Agent, or C.C.C.) dated June 28, 2019 (hereinafter, Representation Contract).

In view of the documentation provided by both parties, there is no doubt that the aforementioned transfer or investment orders made by the agent of the respondent were operations involving the processing of personal data, as defined in Article 4.2 of the GDPR, since they involved access to the accounts of the complainant and his wife and the use of the personal data contained therein.

Thus, as the complainant substantiates by providing the transfer receipts for the funds made by the agent of the respondent to acquire these 6 investments, it can be seen that they include: two account numbers that are owned by the complainant and his wife, which appear with their name, surname, and NIF.

The respondent raises in the documents submitted on May 4, 2023, and March 1, 2024, the existence of a possible lack of material competence of this Agency to address the facts under review, which, according to the respondent, concern the discrepancies between the parties regarding the execution of the signed contract, which should be resolved by other instances or bodies, and not regarding the breach of personal data protection regulations.

However, it should be clarified that the aforementioned transfer/investment orders - the validity and legal effects of which correspond to be determined by other bodies or instances, as stated by the respondent - necessarily involved the execution of personal data processing operations referred to, which are subject to certain requirements provided for in the data protection regulations by the data controller, non-compliance with which could result in an administrative infringement classified therein, the sanctioning power of which is the competence of this Agency.

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es

7/23

In this regard, the doctrine established by the Administrative Litigation Chamber of the National Court is applicable to this case, as reflected, among others, in the SAN of October 17, 2007, or in the SAN of July 3, 2007 (rec.232/2005), whose second Legal Foundation states:

“The appellant begins the defense of their claim by alleging the incompetence of the Data Protection Agency, as the controversy revolves around the existence or non-existence of a specific contract, and this issue is essentially civil in nature and, consequently, outside its jurisdiction, as provided by Article 37 of the LOPD. In reality, the Director of the Data Protection Agency has not ruled on the appropriateness or inappropriateness of the debt, but rather their resolution focuses on considering

certain provisions of the LOPD to have been infringed, linking the imposition of a sanction to these infringements. It is sufficient to read the operative part of the contested resolution to confirm what has just been stated. And undoubtedly, it is fully competent to issue this resolution. It is another matter that in exercising its competence it must make factual or legal assessments that we could qualify as prejudicial, and on which it could not adopt a definitive decision with effects against third parties. If the principle of data quality established in the LOPD requires that the data processed by a third party concerning a person be accurate and truthful, the Administration specifically responsible for enforcing this regulation, solely for the purpose of considering whether this principle has been fulfilled or infringed, can make an assessment of the accuracy and truthfulness of a particular piece of data, in this case, the certainty of a debt, without this meaning a departure from its rules of competence. This ground for appeal must be rejected.”

The entity being claimed against is responsible for the processing of personal data carried out in the present case, in accordance with the provisions of Article 4.7 of the GDPR, which states the following: 7) “‘data controller’ or ‘controller’: the natural or legal person, public authority, agency, or other body that, alone or jointly with others, determines the purposes and means of the processing; where the law of the Union or of the Member States determines the purposes and means of the processing, the controller or the specific criteria for its designation may be established by the law of the Union or of the Member States (...).”

In the present case, the entity being claimed against states that it contracted a representative or agent who was responsible for carrying out the aforementioned operations on its behalf. From the content of the Representation Contract signed with the claimant, it is unequivocally deduced that the data controller of the personal data managed by its agent is MAPFRE INVERSIONES.

Thus, from the “Annex for the processing of personal data” attached to the Representation Contract, it is deduced that it is the entity (MAPFRE INVERSIONES) that sets the means and purposes of the processing of the personal data managed by the agent. And in Clause 10.5 of the same, it is indicated that the entity will be responsible for the actions of the representative without prejudice to its right to initiate actions against them in case of deviation from what was agreed.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

8/23

Consequently, if it is confirmed during the investigation that there was improper treatment (illegal according to the provisions of Article 6.1 of the GDPR) of the personal data contained in the account contracted by the claimant and his wife, MAPFRE INVERSIONES will be the presumed responsible party to whom administrative liability can be demanded for the alleged breaches committed, in accordance with the provisions of Article 70.1 a) of Organic Law 3/2018, of December 5, on the protection of personal data and the guarantee of digital rights (hereinafter, LOPD):

“Article 70. Responsible parties.

1.

The following are subject to the sanctioning regime established in Regulation (EU) 2016/679 and in this organic law: a) The controllers of the processing. b) The processors of the processing. c) The representatives of the controllers or processors not established in the territory of the European Union. d) The certification entities. e) The accredited entities supervising the codes of conduct. (...).”

III.

Infringing conduct: lack of lawful basis for the processing.

The processing of personal data of individuals by their controllers must be governed by the principles outlined in Article 5 of the GDPR, among which is the Principle of lawfulness and transparency provided in the first paragraph of the same, which states:

“1. Personal data shall be:

a) processed lawfully, fairly, and in a transparent manner in relation to the data subject (‘lawfulness, fairness, and transparency’); [...]”

Furthermore, Article 5.2 of the GDPR indicates that: “The controller shall be responsible for

compliance with the provisions of paragraph 1 and shall be able to demonstrate it.”

In furtherance of this principle, Article 6 of the GDPR regarding “Lawfulness of processing” establishes in its paragraph 1 the circumstances under which the regulation allows the processing of personal data of a third party, referred to as “lawful bases.” If none of these circumstances or conditions are met, the processing will not be legitimate or considered lawful under the GDPR:

“1. Processing shall be lawful only if at least one of the following conditions is met:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) the processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;
- c) the processing is necessary for compliance with a legal obligation applicable to the data controller;
- d) the processing is necessary to protect vital interests of the data subject or another natural person.
- e) the processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;
- f) the processing is necessary for the purposes of legitimate interests pursued by the data controller or by a third party, provided that such interests do not override the interests or the fundamental rights and freedoms of the data subject which require protection of personal data, particularly when the data subject is a child.

The provision in letter f) of the first paragraph shall not apply to processing carried out by public authorities in the exercise of their functions.”

This means that it is a mandatory requirement in data protection law that the entity being claimed against has one of these lawful bases in order to carry out the operations of personal data processing arising from the 6 fund transfer and investment operations referred to in this file.

In principle, given the existence of a contractual relationship between the claimant and the entity being claimed against through the subscription of the Framework Contract referred to in the previous Legal Basis, it is appropriate to analyze whether such operations of personal data processing could have their lawful basis in the cause provided for in Article 6.1.b) of the GDPR: “b) the processing is necessary for the performance of a contract to which the data subject is party or for the implementation of pre-contractual measures at the request of the data subject.”

Regarding whether the processing in question was necessary for the execution of the Framework Contract subscribed by the entity being claimed against and the claimant, the claimant maintains, in summary, that:

- According to the contract, the fund transfer operations (investment operations) require prior consent (and not subsequent ratification) expressed through an electronic or handwritten signature, and that since contracting in 2018 with the entity being claimed against, they have always signed electronically all transfer orders for investment through its APP, using their keys and electronic signature.
- That upon consulting the aforementioned APP, they noticed that the agent of the entity being claimed against had executed the 6 transfer orders without previously obtaining their signature.
- They deny that, as stated by the entity, the claimant or their spouse requested the execution of these investments prior to the execution of the transfer orders.
- That the entity being claimed against proposed to ratify these orders, to which they refused.
- That in an email dated November 26, 2021, the entity being claimed against acknowledged that there had been malpractice by the agent and offered to ratify the transfer orders or revoke them at their option, but did not indicate how it was possible for the agent to have accessed their account without having their keys, username, and password. This email has been submitted to the present procedure.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

For its part, the respondent essentially states the following relevant arguments to determine whether there was a lawful basis in the present case:

- Regarding the execution process of the orders: "On 2-6-21, the agent acting as a representative of MAPFRE INVERSIONES (C.C.C.) received several investment operation orders formulated by the claimant," and "following the order execution procedure that was in place as of 2-6-21 at the entity, the representative of MAPFRE INVERSION opted to use the paper signature system. In this context, the representative entered his professional mobile phone into the Mapfre Inversión application, where he received the PIN code, which allowed him to sign through LOGALTY the orders given by Mr. A.A.A., so that they could be ratified by the client through his handwritten signature on paper."
- That the procedure carried out within the framework of the contractual relationship did not compromise and fully guaranteed their rights and will, as it required the appellant to ratify or revoke, by means of his signature, the orders that had been executed on his behalf and under his instructions by the agent.
- To prevent any harm in case these operations did not satisfactorily respond to his instructions or the agreed investment strategy, it was allowed, and this was offered to him on several occasions, not only to revoke them but also to be restored to the previously established balance and products. Both in a meeting held on 21-6-21 and in the aforementioned email dated 26-11-21, such a solution was offered without the claimant having expressed any position.
- It states that the agent did not deviate from the procedure for issuing and signing operations implemented at that time in the entity, and that the system has been modified subsequently, precisely to avoid this type of controversial situations.
- Following the events in question, on July 15, 2021, modifications were implemented in the procedure for signing paper operation orders, such as: establishing a minimum age of 70 years for the client to sign on paper instead of via LOGALTY, limiting the users who can authorize printing on paper, establishing a prior authorization process for managing the paper signature, and limiting the possibility of printing to a maximum of 24 hours once authorized.

Consequently, from the arguments presented, it is deduced that it is not a controversial issue, as recognized by both parties, regarding the fact that the representative contracted by MAPFRE INVERSIONES executed on June 2, 2021, a total of 6 fund transfer operations charged to the investment portfolio and associated account of the claimant and his wife. It is also not disputed that the representative of the respondent entity did not obtain their prior authorization nor communicated this fact to the account holders, and that the respondent offered the claimant to ratify or revoke these transfer orders later, without the claimant expressly accepting either of these two options, filing a complaint and requesting explanations regarding the custody of the personal data that the

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

The respondent was conducting operations by allowing its representative to order such operations without having its electronic or handwritten signature.

The main contentious issue of the present procedure focuses on determining whether, according to the signed contract, it was necessary to obtain prior authorization from the account holders in order to execute the transfer/investment orders that led to the processing of personal data contained in their account, which is the subject of this procedure. Or if, as the respondent claims, the agent was authorized to electronically order the transfer of funds with their own keys and electronic signature, and subsequently obtain the ratification of the handwritten signature of the account holders on paper.

Well, from the analysis of the documentation on record, several pieces of evidence emerge that lead to a position in favor of the version offered by the claimant. The most significant evidence is as follows:

- First, the respondent does not expressly deny that it is necessary to obtain the clients' consent, and despite stating that the agent followed the established procedure at that time (which allowed the agent

to sign operations electronically with their own keys and signature, and, after executing them, to obtain the clients' handwritten signature on paper), it incurs various contradictions that lead to the opposite conclusion.

Thus, according to its own statements and documented background in the procedure, it is noted that the respondent apologized to the claimant for the "malpractice" of the agent in the email sent to the claimant on November 26, 2021, and maintained various contacts and even a meeting with the claimant on June 21, 2021, in order to offer them the option to ratify or revoke such operations. On the other hand, it indicates that it has adopted new measures to rectify the aforementioned procedure of subsequent ratification on paper, which implies an implicit acknowledgment that this was generating irregularities.

- The Framework Contract establishes the obligation to obtain the prior consent or signature of the client to authorize payment operations or carry out any type of financial operation charged to them: Thus, according to Clause Ten of the GENERAL STIPULATIONS of the Framework Contract, referred to as "10.1.- AUTHORIZATION OF PAYMENT OPERATIONS, it is stated that: 'Payment operations will be considered authorized when the CLIENT has given their consent to them, in accordance with the provisions of these General Stipulations, as well as in the respective Particular Stipulations, for each of the payment operations that the CLIENT and the ENTITY have agreed upon.'

And on the other hand, in Clause Seven of the PARTICULAR STIPULATIONS ON CUSTODY AND MANAGEMENT OF THE INVESTMENT PORTFOLIO, it was also specified: 'In order for the ENTITY to use on its own behalf or on behalf of another client the financial instruments entrusted to it by the CLIENT or to establish agreements for financing operations...'

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

12/23

Regarding the values related to said instruments, the client must provide their express authorization, in writing and formalized by their signature or an equivalent mechanism, by which they authorize the ENTITY to use their financial instruments in custody for the intended purpose expressly accepted in the specific conditions established, which will include: obligations and responsibilities of the ENTITY (including the remuneration in favor of the CLIENT for lending their values), the conditions for restitution, and the inherent risks. The use of said instruments will be restricted to the conditions previously accepted by the CLIENT.

-

The respondent indicates that it was the claimant who initiated the service, issuing the investment orders that were executed by the agent, which the claimant denies, stating that they were only aware of them once they were executed, upon viewing them in the APP "MAPFRE Financial Portal."

Regarding this contentious issue, it should be noted that the respondent has not provided documentation proving that the investment order originated from the claimant, activating the so-called "service for the reception, transmission, and execution of investment orders" as stipulated in the framework contract. This prior request is not reflected in the transfer receipts, screenshots of the executed investment orders, and/or movement listings provided by the claimant.

-

The procedure followed by the agent to order the transfer was not chosen by the client, as indicated in the Framework Contract:

According to Clause Seven of the General Stipulations of the Framework Contract, the provision of the client's consent or prior authorization could be obtained through two possible channels, which will always be at the client's choice: in-person channel (handwritten signature at the office), or via the internet (with keys, username, and electronic signature in the APP "MAPFRE Financial Portal"):

"(...) The CLIENT's registration process with the ENTITY and the signing of this FRAMEWORK CONTRACT must necessarily be carried out through the in-person channel, that is, at the MAPFRE office of their representative. This FRAMEWORK CONTRACT cannot be signed unless the CLIENT has submitted all the documentation required by the ENTITY.

Notwithstanding the above, once the FRAMEWORK CONTRACT is signed, the subsequent management of any operation related to the contracted products and/or services, as well as the contracting of new financial products or services, may be carried out, at the CLIENT's choice, either through the in-person channel (MAPFRE Office of the representative) or via the INTERNET, in accordance with what is established in the following Stipulation regarding access and use of remote channels."

Access and use of remote channels could only be carried out by the client, through their own key, username, and electronic signature, which were personal to each user and non-transferable. This aspect is noted in Clause Eight of the General Stipulations of the Framework Contract, which regulates "8. ACCESS AND USE OF REMOTE CHANNELS," stating that:

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

13/23

"Likewise, the ENTITY will initially assign each CLIENT an automatic Password and an Electronic Signature, which must be modified by the CLIENT immediately after the first access, adhering to the alphanumeric criteria defined by the ENTITY at any given time. Notwithstanding the above, the ENTITY reserves the right to accept or not accept an interested party as a USER. (...) These elements (User Identifier, Password, and Electronic Signature), hereinafter referred to as the "keys," will be personal to each USER and non-transferable, allowing access to operations on all products and services in which said USER is listed as Holder (either solely or jointly with third parties) or as Authorized on behalf of the Holders. (...) From this moment on, and once the keys have been validated by the ENTITY's systems, it will be understood that the orders transmitted to the ENTITY are firm instructions, with the express consent of the CLIENT and, therefore, with full legal effect. The Parties grant to the orders transmitted electronically, using the keys, the same value as the consent provided in writing with a handwritten signature.

In conclusion, from these clauses it follows that the choice between both channels for ordering investments corresponded to the client, and not to the agent, who opted for the in-person procedure, ordering investments with their keys and signature, without it being proven that it was the client (the claimant and his wife) who requested that the investment be made through this channel. In this case, moreover, the claimant states that since 2018 he had always opted for the electronic channel, and authorized each investment operation with his keys and electronic signature. Therefore, in this case, even more so, the agent should have consulted the client and obtained their prior consent to switch to the in-person channel.

This, combined with the fact that the entity also had the obligation to require their prior consent in order to order a payment as referred to in general stipulation 10.1, undoubtedly implies that the agent omitted the requirement to consult and obtain the prior consent of the client, both to opt for the in-person channel and to order the payment and investment operations.

This practice, in addition to involving an unlawful processing of the personal data of the claimant and his wife, would infringe the provisions of the "Annex on Limitation of Activity and Representation Services" of the Representation Contract, which expressly states that the representative: "Will not assume in any case any management authority or power over the financial instruments owned by the client, limiting their activity to the reception and transmission of orders on behalf of clients in relation to one or more financial instruments of the Mapfre group or third parties."

In conclusion, from the above, it is deduced that according to the contract signed by the parties, it was necessary for the claimant and his wife to authorize in advance the use of the in-person or electronic channel, and the fund transfer operations to acquire investments that were carried out by the agent of the claimed entity. And it is recorded in the file that the agent acted in accordance with "bad practice," ordering 6 payment and investment operations without previously obtaining the necessary authorizations."

C/ Jorge Juan, 6

www.aepd.es

necessary, which implied the use of personal data of the account holders for which it lacked legitimacy. Therefore, it is understood that the operations of processing personal data carried out by the agent of the respondent regarding the transfer lacked a legal basis under Article 6.1(b) of the GDPR, as the processing was not necessary for the execution of the framework contract.

The same arguments put forward would serve to dismiss the existence of a legal basis under Article 6.1(a) of the GDPR, given the lack of consent from the complainant and his wife, acknowledged by both parties. It is not established that the respondent has demonstrated the existence of any other legal basis provided for in the aforementioned Article 6.1 of the GDPR.

Consequently, if the evidence provided by the parties in this procedure during the instruction phase is confirmed, it would imply that the respondent entity processed the personal data contained in the account of the complainant and his wife when ordering the fund transfers referred to in this procedure, without being supported by any legal basis justifying the lawfulness of the processing, which could entail a violation of Article 6.1 of the GDPR.

IV. Classification and qualification of the infringement.

The conduct of the respondent could constitute an infringement of Article 6.1 of the GDPR. This infringement is classified in Article 83.5 of the GDPR, which states:

“5. Infringements of the following provisions shall be sanctioned, in accordance with paragraph 2, with administrative fines of up to 20,000,000 Euros or, in the case of an enterprise, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount:

a) The basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9.”

For the purposes of determining the limitation period for the infringement, the LOPDGDD qualifies in its Article 72 this violation of the GDPR as a very serious infringement. The provision states:

“1. In accordance with what is established in Article 83.5 of Regulation (EU) 2016/679, the following infringements are considered very serious and shall be subject to a limitation period of three years, which involve a substantial violation of the articles mentioned therein and, in particular, the following: [...]

b) The processing of personal data without any of the conditions for lawful processing established in Article 6 of Regulation (EU) 2016/679.”

V

Sanction: Administrative fine

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

15/23

Article 58.2 of the GDPR relates the corrective powers attributed to the AEPD as the supervisory authority, including the power to impose an administrative fine (paragraph i).

Without prejudice to the outcome of the instruction of the procedure, at this stage, the initiation agreement considers it appropriate to impose an administrative fine on the respondent for the alleged infringement of Article 6.1 of the GDPR for which responsibility is attributed to it.

Article 83 of the GDPR, “General conditions for the imposition of administrative fines,” states in paragraph 1 that the supervisory authority shall ensure that the imposition of fines for the infringements of this Regulation indicated in paragraphs 4, 5, and 6 complies in each individual case with the principles of effectiveness, proportionality, and deterrence.

The principle of proportionality implies a correlation or adequacy between the infringement committed and the sanction imposed, prohibiting unnecessary or excessive measures, so that the sanction is suitable to achieve the purposes that justify it.

Article 83.2 of the GDPR, through a list of criteria or factors for its graduation, establishes the technique to achieve the adequacy between the infringement and the sanction. The provision states: “Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure for the measures provided for in Article 58, paragraph 2, letters a) to h) and j). In deciding the imposition of an administrative fine and its amount in each individual case, the following shall be duly taken into account:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question, as well as the number of data subjects affected and the level of damage and harm suffered;
- b) the intentionality or negligence in the infringement;
- c) any measures taken by the controller or processor to mitigate the damage and harm suffered by the data subjects;
- d) the degree of responsibility of the controller or processor, taking into account the technical or organizational measures that have been applied pursuant to Articles 25 and 32;
- e) any previous infringement committed by the controller or processor;
- f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;
- g) the categories of personal data affected by the infringement;
- h) the manner in which the supervisory authority became aware of the infringement, in particular whether the controller or processor notified the infringement and, if so, to what extent;
- i) when the measures indicated in Article 58, paragraph 2, have been previously ordered against the controller or processor in relation to the same matter, compliance with those measures;

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

16/23

j) adherence to codes of conduct under Article 40 or to certification mechanisms approved pursuant to Article 42, and

k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as financial benefits obtained or losses avoided, directly or indirectly, through the infringement.”

Section k) of Article 83.2 of the GDPR connects with Article 76 of the LOPDGDD, “Sanctions and corrective measures,” which states:

“2. In accordance with the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account:

- a) The continuous nature of the infringement.
- b) The connection of the infringer's activity with the processing of personal data.
- c) The benefits obtained as a result of the commission of the infringement.
- d) The possibility that the conduct of the affected party may have induced the commission of the infringement.
- e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.
- f) The impact on the rights of minors.
- g) Having, when not mandatory, a data protection officer.
- h) The voluntary submission by the controller or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any interested party.”

In accordance with the transcribed provisions and the information contained in the administrative file, the following factors evidencing a greater unlawfulness or culpability of the conduct are taken into consideration to determine the amount of the fine that should be imposed on the respondent for the infringement of Article 6.1 of the GDPR:

-

Article 83.2.a) of the GDPR: “the nature, gravity, and duration of the infringement.”

The conduct that constitutes the nature of the infringement attributed to the respondent affects a basic

principle in data protection, the lawfulness of processing, sanctioned as mentioned, with a fine of up to 20 million euros or 4% of the respondent's total annual turnover.

The severity of the conduct is based on the fact that the financial entity acted without legitimacy, unlawfully processing the personal data of the two account holders (name, surname, NIF, and account numbers appearing on the same).

It is also considered that, according to what is stated in the fund transfer orders provided as Document 2 of the complaint, the respondent executed 6 operations of processing these personal data without a lawful basis, for an amount of 4,215 euros each, so the unauthorized investment amounted to a total of 25,290 euros in the account corresponding to the investment fund from which these amounts were deducted.

Regarding the duration of the infringement for which the respondent entity is held responsible, it is considered that the infringement was consummated on the day the fund transfer operations were carried out, on 2-6-21.

-

Article 83.2.b)

The intent or negligence of the infringement:

Although there is no evidence of intent to act without a lawful basis on the part of the agent who ordered the transfers, there is a serious negligence in the actions of both this agent and the respondent entity, which claims to have been applying a procedure for ordering operations that is not provided for in the Framework Contract signed with the complainant, allowing its agents to execute orders without obtaining prior authorization from the clients when the in-person channel was chosen by the agent.

Considering that in the course of its business activity it is dedicated to investment management, which frequently presents these fund transfer operations, it is part of the minimum diligence required of a financial entity such as MAPFRE INVERSIONES to ensure that it adopts the necessary technical and organizational measures to prevent agents or employees acting on behalf of the entity from making these decisions without the prior handwritten or electronic signature of the clients.

Regarding the degree of diligence that the data controller is obliged to exercise in fulfilling the obligations imposed by data protection regulations, the SAN of 17/10/2007 (Rec. 63/2006) can be cited, which is extrapolable to the case at hand, indicating that: "the Supreme Court has understood that there is negligence whenever a legal duty of care is disregarded, that is, when the infringer does not behave with the required diligence. And in assessing the degree of diligence, the professionalism or lack thereof of the subject must be especially weighed, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it must insist on rigor and exquisite care to comply with the legal provisions in this regard."

-

The evident connection between the business activity of the respondent and the processing of personal data (Article 83.2.k of the GDPR in relation to Article 76.2.b of the LOPDGDD).

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

17/23

18/23

Given that the business activity of the respondent necessitates the processing of numerous personal data of its clients, and considering the significant volume of business of the financial entity in question at the time the events occurred, the relevance of the infringing conduct subject to this claim is undeniable.

In light of this, without prejudice to the outcome of the procedure's instruction, it is understood that, in view of the aforementioned circumstances of severity, an initial fine of €300,000 (THREE HUNDRED THOUSAND EUROS) is set for the alleged violation of the provisions of Article 6.1 of the GDPR.

VI

Imposition of corrective measures

If the infringement is confirmed, the resolution issued may establish the corrective measures that the infringing entity must adopt to cease the non-compliance with personal data protection legislation, in this case, Article 6.1 of the GDPR, in accordance with the provisions of the aforementioned Article 58.2.d) of the GDPR, according to which each supervisory authority may “order the controller or processor to ensure that the processing operations are compliant with the provisions of this Regulation, where appropriate, in a specific manner and within a specified period...”.

The imposition of this measure is compatible with the sanction consisting of an administrative fine, as provided for in Article 83.2 of the GDPR.

Thus, the responsible entity may be required to adjust its actions to comply with personal data protection regulations, to the extent expressed in the previous Legal Grounds.

In this act, the alleged infringement committed and the facts that could lead to this possible violation of data protection regulations are established, from which it is clearly inferred what measures should be adopted, without prejudice to the fact that the type of procedures, mechanisms, or specific instruments for implementing them corresponds to the sanctioned party, as it is the data controller who fully knows its organization and must decide, based on proactive responsibility and a risk-based approach, how to comply with the GDPR and the LOPDGDD.

However, in this case, regardless of the above, in accordance with the evidence available at this moment regarding the initiation of sanctioning procedure, the resolution adopted may require MAPFRE INVERSIONES to, within 3 months from the date of effectiveness of the resolution concluding this procedure, instruct its agents to refrain from using the personal data of its clients by making investments that violate the authorizations agreed upon in the framework contracts for financial products and services or wealth management signed.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

19/23

by the same and establish the technical means that are deemed appropriate to prevent the formalization of such investment operations through electronic signature by a person other than the client or a person authorized by them.

It is warned that failure to comply with the possible order to adopt measures imposed by this body in the resolution of the present sanctioning procedure may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in its articles 83.5 and 83.6, which may lead to the initiation of a further administrative sanctioning procedure.

Furthermore, it is reminded that neither the acknowledgment of the infringement committed nor, where applicable, the voluntary payment of the proposed amounts, exempts from the obligation to adopt the necessary measures to cease the conduct or correct the effects of the infringement committed and to demonstrate to this AEPD compliance with that obligation.

Therefore, in light of the above, by the Director of the Spanish Agency for Data Protection, IT IS AGREED:

FIRST: TO INITIATE SANCTIONING PROCEDURE against MAPFRE INVERSIÓN SOCIEDAD DE VALORES, S.A, with NIF A79227021, for the alleged infringement of article 6.1 of the GDPR, classified in article 83.5 of the same GDPR.

SECOND: TO APPOINT R.R.R. as the instructor and S.S.S. as the secretary, indicating that they may be challenged, if applicable, in accordance with the provisions of articles 23 and 24 of Law 40/2015, of October 1, on the Legal Regime of the Public Sector (LRJSP).

THIRD: TO INCORPORATE into the sanctioning file, for evidentiary purposes, the complaint filed by the claimant and the claimed party, along with its documentation, as well as the documents obtained in the proceedings prior to the initiation of the present sanctioning procedure and during the appeal phase.

FOURTH: THAT for the purposes provided in article 64.2 b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the sanction that may correspond would

be €300,000 (THREE HUNDRED THOUSAND EUROS), without prejudice to what results from the instruction.

FIFTH: TO NOTIFY this agreement to MAPFRE INVERSIÓN SOCIEDAD DE VALORES, S.A, with NIF A79227021, granting a hearing period of ten working days for them to submit any allegations and present any evidence they deem appropriate. In their written allegations, they must provide their NIF and the file number that appears in the heading of this document.

If no allegations are made regarding this initiation agreement within the stipulated period, it may be considered a proposal for resolution, as established in article 64.2.f) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP).

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es
20/23

In accordance with the provisions of Article 85 of the LPACAP, you may acknowledge your responsibility within the period granted for the submission of allegations to this initiation agreement; this will entail a reduction of 20% of the sanction that may be imposed in this procedure. With the application of this reduction, the sanction would be set at 240,000 euros, resolving the procedure with the imposition of this sanction.

Similarly, you may, at any time prior to the resolution of this procedure, voluntarily pay the proposed sanction, which will imply a reduction of 20% of its amount. With the application of this reduction, the sanction would be set at 240,000 euros, and its payment will imply the termination of the procedure, without prejudice to the imposition of the corresponding measures.

The reduction for the voluntary payment of the sanction is cumulative with the one corresponding to the acknowledgment of responsibility, provided that this acknowledgment of responsibility is made within the period granted to submit allegations regarding the opening of the procedure. The voluntary payment of the amount referred to in the previous paragraph may be made at any time prior to the resolution. In this case, if both reductions are applicable, the amount of the sanction would be set at 180,000 euros.

In any case, the effectiveness of either of the two mentioned reductions will be conditioned upon the withdrawal or renunciation of any action or appeal in the administrative route against the sanction.

In the event that you choose to proceed with the voluntary payment of any of the amounts indicated above (240,000 euros or 180,000 euros), you must make it effective by depositing it into account no. IBAN: ES00-0000-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX) opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A., indicating in the concept the reference number of the procedure that appears in the heading of this document and the reason for the reduction of the amount to which you are adhering.

You must also send the proof of deposit to the General Sub-Directorate of Inspection to continue with the procedure in accordance with the amount deposited.

In compliance with Articles 14, 41, and 43 of the LPACAP, you are warned that, henceforth, notifications sent to you will be made exclusively electronically, through the Single Enabled Electronic Address (dehu.redsara.es), and that, if you do not access them, your rejection will be noted in the file, considering the procedure completed and continuing with the process. You are informed that you can identify an email address before this Agency to receive the notice of availability of notifications and that the lack of practice of this notice will not prevent the notification from being considered fully valid.

The procedure will have a maximum duration of twelve months from the date of the initiation agreement or, if applicable, from the draft initiation agreement. After this period, it will expire, and consequently, the file will be archived; in accordance with the provisions of Article 64 of the LOPDGDD.

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid

Finally, it is noted that according to the provisions of Article 112.1 of the LPACAP, no administrative appeal is available against this act.

935-18032024

Mar España Martí

Director of the Spanish Agency for Data Protection

>>

SECOND: On June 20, 2024, the respondent has proceeded to pay the sanction in the amount of 180,000 euros, making use of the two reductions provided for in the previously transcribed Initiation Agreement, which implies the acknowledgment of responsibility.

THIRD: The payment made, within the period granted to submit allegations regarding the opening of the procedure, entails the renunciation of any action or appeal in the administrative route against the sanction and the acknowledgment of responsibility concerning the facts referred to in the Initiation Agreement.

FOURTH: The Initiation Agreement transcribed above indicated that, if the infringement were confirmed, it could be agreed to impose on the responsible party the adoption of appropriate measures to adjust their actions to the regulations mentioned in this act, in accordance with the provisions of the aforementioned Article 58.2 d) of the GDPR, according to which each supervisory authority may "order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specific manner and within a specified period...".

Having acknowledged the responsibility for the infringement, the imposition of the measures included in the Initiation Agreement is appropriate.

LEGAL GROUNDS

I

Competence

In accordance with the powers granted by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), to each supervisory authority and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and the guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states that: "The procedures processed by the Spanish Agency for Data Protection will be governed by the provisions of Regulation (EU) 2016/679, this organic law, and the provisions..."

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

regulatory provisions issued in its development and, insofar as they do not contradict them, with a subsidiary character, by the general rules on administrative procedures."

II

Termination of the procedure

Article 85 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), under the heading "Termination in sanctioning procedures" provides as follows:

"1. Once a sanctioning procedure has been initiated, if the offender acknowledges their responsibility, the procedure may be resolved with the imposition of the appropriate sanction.

2. When the sanction is solely of a pecuniary nature or when it is possible to impose a pecuniary sanction and another non-pecuniary sanction but the latter has been justified as inappropriate, voluntary payment by the alleged responsible party, at any time prior to the resolution, will imply the termination of the procedure, except with respect to the restoration of the altered situation or the

determination of compensation for the damages caused by the commission of the infraction.

3. In both cases, when the sanction is solely of a pecuniary nature, the competent body to resolve the procedure shall apply reductions of at least 20% on the amount of the proposed sanction, which shall be cumulative. The aforementioned reductions must be specified in the notification of initiation of the procedure and their effectiveness shall be conditioned upon the withdrawal or renunciation of any action or administrative appeal against the sanction. The percentage of reduction provided for in this section may be increased by regulation.”

In accordance with the above,

the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO DECLARE the termination of procedure EXP202303754, in accordance with the provisions of Article 85 of the LPACAP.

SECOND: TO ORDER MAPFRE INVERSIÓN SOCIEDAD DE VALORES, S.A to notify the Agency of the adoption of the measures described in the legal grounds of the Agreement of initiation transcribed in this resolution, within 90 days from the date this resolution becomes firm and enforceable.

THIRD: TO NOTIFY this resolution to MAPFRE INVERSIÓN SOCIEDAD DE VALORES, S.A.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the interested parties may file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and paragraph 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

1259-16012024

Mar España Martí

Director of the Spanish Agency for Data Protection

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es